Ep. 382: Shahin Vallée on French Political Risk, Le Pen's Rise, and European Bond Spreads

Podcast: Macro hive

AI Executive Summary

1. **Core Thesis** The primary driver of recent financial stress in France is not fiscal policy itself, but the emerging unpredictability surrounding the upcoming general elections following the presidential race. A central scenario predicting a runoff between Marine Le Pen (Far Right) and Jean-Luc Mélenchon (Far Left) creates significant uncertainty regarding government stability and legislative majorities. This volatility hinders the ability to commit to credible medium-term fiscal paths, which is crucial for calming UBI-Bund spreads and maintaining trust in sovereign debt. While polling remains imperfect due to demographic biases, specifically regarding populist youth voters, private polling methodology focusing on behavioral clusters offers better forecasting tools for the complexity of local general elections than traditional macro-polls.

2. **Key Arguments & Data**

3. **Political Driver:** The market sell-off was triggered by a shift in political expectations regarding Le Pen's candidacy and the rise of Jean-Luc Mélenchon, rather than the budget deficit itself.
4. **Polling Bias:** Public polling consistently underestimates populist support; demographic shifts among young voters (predominantly voting for Far Left) are often not adjusted for accurately.
5. **Presidential Scenario:** The central scenario is a runoff between the Far Right and Far Left. Centrist candidates are struggling to win against Le Pen, and Mélenchon's momentum has been significantly underestimated.
6. **General Election Complexity:** The General Election is harder to forecast than Presidential (577 local constituencies) due to strategic voting and polarization. A Presidential victory does not guarantee a Government majority; potential coalition instability or opposition pressure remains high if Le Pen wins against Mélenchon.
7. **ECB/Germany Friction:** France's fiscal vulnerability creates political tensions regarding ECB intervention. Rapid ECB action to cap spreads could cause political crisis in Germany, while inaction risks a

sovereign crisis in France due to the ECB's delicate position between German and French interests.

8. **Fiscal Credibility:** To close the spread gap, markets require a 5-10 year fiscal path with constitutional commitment or strong majority approval; currently, neither is secured before market stress forces action.
9. **Methodology Shift:** Traditional polling relies on demographics (ineffective for populists); Cluster17 private polling uses behavioral traits (authoritarians vs anti-authoritarian) which predicts votes more accurately.

10. **Timeline Risks:** The upcoming General Election follows the Presidential results; without a parliamentary majority, the government may face months of uncertainty appointing a Prime Minister (historical precedent seen in 2024).

11. **Actionable Takeaways**

12. **Monitor Polls for General Elections:** Do not rely solely on Presidential election polls. Follow weekly public polling and adjust for known biases, but prioritize private polling (e.g., Cluster17 methodology) that clusters voters by behavioral traits to forecast the General Election seat counts accurately.
13. **Watch Government Stability Metrics:** Assess French sovereign risk based on the potential outcome of the runoff (Le Pen vs Mélenchon), as a Leftist opposition victory could undermine Le Pen's fiscal agenda if she holds the presidency without a legislative majority.
14. **Track Fiscal Path Implementation:** Look for specific constitutional or 5-year fiscal reforms rather than annual budget adjustments; the lack of long-term commitment remains the current market risk factor.
15. **Prepare for ECB Political Dilemma:** Be aware that ECB intervention in French bond markets is politically sensitive given the upcoming board renewal and German political sensitivities, which may limit early stabilizing actions before a clear fiscal path emerges.
16. **Watch Coalition Dynamics:** Monitor the convergence of center-right candidates (RPR/RENA vs Macron party remnants) and the strength of Green/Socialist left alliances for General Election success potential.

Full Transcript

Welcome to the MacroHive Conversations podcast. I'm Bilal Hafiz, Head of Strategy at MacroHive. Before we dive in, a quick update. Following MacroHive's acquisition by the BGC Group, BGC has launched a new regulated business called MacroHive Markets. For the first time, onboarded clients can also access execution services via MacroHive Markets. This new workflow will allow macro-institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mozibriyan

Bloomberg or click the link in the description below for more details on McRide markets and its service offering. Now, on this episode's guest, Shaheen Valais. Shaheen is former advisor to the president of the European Council and to the French minister of economy, Emmanuel Macron. He's also researcher in political economy at the DGAP, the German Council on Foreign Relations, and a leading economic and political analyst. Now, onto our conversation. Greetings and welcome, Shane. It's fantastic to have you on the podcast. It's been a while, but I think it's very relevant to have you on now. Thank you. Now, the reason I wanted to get you on was because you're in general an excellent analyst and in particular, you're great on Europe, on the intersection of politics, macroeconomics, and you've also recently done a lot of work on France. And that's the epicenter of the European, I guess we can call it a crisis now. I'm not sure how to sort of determine it yet, but in the future, we'll call it something. You know, when we kind of go into the chronology of this, it kind of started off with the budget, which kind of triggered the sell-off in French bonds and this focus on France's fiscal story. So perhaps we can start there. I mean, what's the issue with the budget? Why has it come out this year in this way? I actually think the budget is a pretty minor issue.

you're right that it's around budget negotiations that kind of stress started to crystallize. But really this budget is not particularly bad and not particularly surprising. So nobody expected a much bigger fiscal adjustment. Nobody expected much better news. So I think it's really not. the budget itself that triggered the sell-off. I think it's more the realization that the political

environment and the elections to come were becoming a lot more complex than I think people had anticipated. I think for the last two years people have seen the rise of the far right and Marine Le Pen and they've been rather relaxed about it. first because first Bardella was viewed rightly or wrongly as a more market friendly alternative. And so I think people assume that the far right in France was normalizing and Bardella was the best example of that. There was a number of meetings with investment banks and business people that I think reassured the market about this. So I think the fact that we went back to Marine Le Pen as the candidate.

kind of changed a bit the dynamic. And then I think more importantly over the past summer, the big news is that we started to see polls showing that basically even you know, some of the leading centrist candidates would do very poorly against Le Pen in the second round. And so, you know, I think until then the general belief was if we have a centrist candidate versus Le Pen in the second round, the centrist candidate will win. You know, this Republican arc will operate and therefore we are going to avoid this. And I think over the summer we started to have doubts about that. And now the recent polls suggest that basically there's no centrist candidate.

that can win with enough certainty against Le Pen in the second round. So I think that's the first change. The second change, which is perhaps even more important, is that because these centrist candidates are doing so poorly in the polls, we've seen actually a rise of Jean-Luc Mélenchon, the far left candidate, a lot more pronounced than I think people anticipated. And so much so that now the central scenario is that we are going to have a runoff between the far right and the far left. And I think that's not really what was in the cards just a few months ago, or at least in the cards of the markets. And maybe a last point, which is maybe changing a bit the game.

I think a lot of people thought at the end of the day, even if Le Pen is elected, she's going to govern with the center right and she's just going to be another version of Meloni. I think I've heard a lot and you may have heard it too, this comparison being made. And so people thought, in fact, the downside risk is limited because even in the worst of cases, it's going to be something that we've seen elsewhere and that is manageable. And maybe we can go into more details around that, but I think that's a misreading of

the of the situation. I think to me it's the combination of these different reassessments of the political situation, the political landscape, not to mention something that maybe we'll talk about later, which is the upcoming general elections also after the presidential elections, which I think also adds a layer of complexity. So to say briefly, I don't think it's the budget. I think it's the politics. Yeah, understood.

And more importantly, I think if it is the budget, it's not the budget for next year. It's basically the ability of the political system to commit to a credible fiscal path, not for one year, but for five or 10 years. And I think this is what's really missing right now. And on the polls, obviously, many of us in markets are very familiar with polling in the US. We have midterms coming up. We're all obsessing about polls. And in the US, at least, polls have kind of missed or tend to under-represent the populist candidates. Can you kind of give me a sense of how to look at polls in France? Many of our audience may not be as familiar. And does it also have a track record of not capturing the populist candidates that well? So on balance, polling companies and friends do OK for the presidential election.

Your right, they tend to underestimate the populist votes on the left and on the right in general. More so on the left, actually. Very few people, for instance, were forecasting such a strong showing of the left at the last general election in 2024. So I think it's true that, and I would say that for this year in particular, I think because we have quite a lot of new voters compared to 2022, I'm not sure polling companies capture very well the changes in the demographics and how it's changing the votes. Basically, young voters vote predominantly for a populist candidate and in particular for the far left. And I don't think the polling companies adjust for that well enough. But I would say on balance, presidential election polls and polling companies do okay. What is a lot more difficult is the general election.

And the general election is likely to come, you know, a bit more than a month after. We don't have a date yet. It's like to come a bit more than a month after the presidential election. The sequence is that the new president steps in, usually dissolves parliament and calls for a new election. And so, you know, that process takes, you know, let's say, call it six weeks, something like that. Okay. Yeah. And, you know, I might later get into the

difference powers that each part of the government has. Yeah, but maybe to include on the polls, polling for the general elections are usually bad because it's probably the most complex election to forecast in the world because it's 577 individual elections in a two round system where, you know, local dynamics play a role with party politics play a role and where you have a lot of strategic voting. And so transforming a presidential poll into a result of the general election is almost impossible. And so that in my mind is going to be the most important source of political risk and uncertainty in this election. You know, everybody right now is focused as we've just discussed on the presidential election. Nobody really understands that what will be key in particular for fiscal policy will be whether whoever is elected actually has a majority to govern and what kind of majority he or she has to govern. And that to me is going to be central. And that to me, we are very poorly equipped to understand that. This is why I'm partnering with a French polling company to provide private polls, not only for the general election, but also for the presidential election. But we're spending a lot of time and investing a lot in being able to essentially do forecast at the constituency level because we think that's the kind of best way to be able to produce an accurate estimate of the vote proceed. And I think that's going to be key. It seems very far now because this is something that's not going to happen before July, probably, but I think it will be key to basically understand the political landscape in France and crucially, whether we will have a majority to pass not only one budget, but essentially, you know, to commit to some kind of fiscal plan over the medium term.

And just to go into the polls a bit more because, you know, people in markets will end up obsessing about polls as we get closer to both the presidential and the general election. How often do the public polls? How often do they come out? Is it weekly? Are there like 20 different pollsters out there and you kind of have to average them out? You know, there is a handful of polling companies. And so as we get close to the election, you will roughly have probably at least a poll per week coming from the different polling companies. And so I think what's sound thing to do is to basically take an average of these public polls to get a sense of where public opinion is. You will see, and I think this is important to do some math to correct the biases of each pollster. So you will see that this pollster has consistently over the past underestimated or overestimated this or that party.

So I think it's useful to adjust a little bit. These are not huge adjustment, but they tend to each have a little bias, some pollsters actually use the same panels, the same samples to get very similar results. But so I think you will have that, and you will have people like us that will do a bit of private polling on top of that. And on the private polling, because I looked at some of the background material on the methodology you have, it's an interesting approach that you're taking, where you're kind of clustering it rather than by demographics.

kind of by, I don't know what you call it, behavioral traits or interests or something. I don't know how you sort of find the term, but it's a different approach to correct for some of these biases. Yeah, the way Cluster17, this polling company operates is that they create these clusters and these clusters based on what they think are important dividing lines in public opinion, attitude towards drugs, attitude towards authority, attitude towards violence, attitude towards taxation. So basically to create dividing lines in public opinion and to group people along these clusters. And what they say is that these clusters are a much better predictor of your vote than your socioeconomic background. And so they recreate a representative sample from these clusters and they analyze public opinion through these clusters.

And they've had historically, you know, pretty good results. And so this is the methodology. So, but cluster 17 is both producing public polls as well as private polls. Basically, there will be plenty of polls out there. And I think it will be for people to decide, you know, who they trust best. And in particular, you know, there will be more or less accurate polls for the presidential election. But I repeat, the best thing you will get from the public polling companies out there for the general election will be ranges of seats for the general election. And potentially quite wide ranges that basically leave a broad range of outcomes possible for the general election. OK, before we get into the general election and how that could fall out, on the presidential side, I mean, the first thing is just touching what you said earlier. Is it accurate to say that Le Pen and Bardella are different from each other? Or is that just more kind of?

PR or something. I think it was a lot of PR, but I think it's true. There was a bit of truth to it in the sense that I think Bardella had and I think was

prepared to display a bit more, you know, market friendly or business friendly attitudes. My sense was that Le Pen was going to do that and to move in that direction in any case. And so I think Bardela had kind of taken the lead. But I don't know if it's really true to say that they were kind of on an undivergent past. My sense is that, and we're seeing it, I think, on October 6, Marine Le Pen announced a very important new fiscal rule that she wants to be introduced in France, a constitutional fiscal rule that she wants to see introduced in France by way of a referendum. And that fiscal rule commits to a very significant fiscal adjustment.

And so the idea that Le Pen would be fiscally responsible and Bardela was not to me was a bit of a stretch. I think they started from different places. I think that's true. But in my mind, they were kind of slowly converging. And I think Le Pen has taken a very significant step in that direction with her fiscal rule commitment. The problem I have with that fiscal rule is that I find it almost too tight to be credible. And importantly, she's committing to that very significant reduction in the budget over time. But she's not really saying how she's going to achieve that. And for instance, she's not saying anything very significant in so far as pension is concerned. And so I think she's gone half of the way.

making a commitment, which I think in itself is a very significant move. I would not downplay that, but she hasn't said really how she wants to get there. And I think this creates uncertainty about. And what is the positions of Le Pen and Bardella in the national rally, in the RN party? Like, what's the different positions? Are they actually in competition, or how does it work in terms of? Not anymore. So, mine Le Pen, because of her trial, like, you know, stepped down and Bardella was the candidate. This reversed when she got a lighter sentence it was allowed to run. There was at some point a little friction during that transition. And I think it's been settled. You may have seen that there's been a lot of accusations against Jordan Bardela recently about anti-Semitic messages you would have sent about 10 years ago. And so I think this has contributed also to kind of weaken his profile. But it's important that you ask because historically there was a lot of rivalry within the far right and that sometimes tripped the far right before elections. I don't think this is happening this time around.

Jordan Bardela is clearly junior to Marine Le Pen. He clearly has no chance outside of the party, and he's not going to try to foment a revolt or something like that. I don't think he has the political strength to do that. So he will stay. He will continue to campaign. She will, for the time being, I think continue to present him as her prime minister to be. But that also, of course, depends on a lot of things, including forging a majority. But yeah, I don't expect tensions to flare up in a way that I think could disrupt the campaign. And in terms of key policy planks for the RN, what are they? Has LePen, aside from that fiscal thing, has she articulated something? Or is it still at that stage where they aren't? Everyone's kind of holding back? No, it's starting to be. I mean, what's very clear is her insistence on immigration as kind of a central element of the program. And she's arguing.

that cutting immigration will cut substantially spending, public spending, and so there are lots of savings to be gained from that. I think the other thing that's been very important, and maybe that takes us back to the conversation about Meloni, is that she has basically stated, she gave an interview to the FT about a week ago. And I really invite people to read that transcript in detail because she's saying pretty bold things about how she intends to oppose the EU in particular, how she wants France's contribution to the EU budget to be cut in half. And I think this is a very significant message. She's also said actually in the same interview that she's questioning whether Ursula von der Leyen would be still fit to serve as commission president when she comes into office. So she's showing clearly that she's prepared to have a much more antagonistic relationship with Brussels than Meloni was. And that to me is an important message. I think people ask me often, what's the difference between Meloni and Le Pen. And I hate to say that as a Frenchman, but I think one critical thing that we underestimate is that I think the checks and balances that are offered by Italian institutions are actually a lot stronger than the checks and balances offered by the French institution. In part because we have a very presidential regime. So when you're elected president in France, basically the parliament has only very limited ability to control and limit your powers.

Italy is a very regional country where you have important regional powers. That is not the case in France, which is very centralized. And importantly,

Italy was about to receive 300 billion euros when Miloni stepped in. And so therefore she had a strong incentive to be friendly and compliant. France is a net contributor to the EU budget. And so she doesn't have quite the same incentive structure. And in fact, I think she could oppose the EU and the EU budget and actually create a mini political crisis around this. Because as you know, the European budget, the seven-year planning budget is extremely important for a range of things, including one thing which I think is central to Europe's integrity and integration, which is basically the kind of slow moving, you know, Hamiltonian transition that Europe is undertaking since the euro crisis. So basically the ability bit by bit to expand the areas in which Europe is achieving common borrowing and delivering common public goods. And I think that could be at risk of unraveling.

If Le Pen really undermines the budget, which for the moment she intends to do, I tend to think that eventually there will be a compromise. But before we get to that compromise, there could be quite a lot of friction. And just to get a sense of the magnitude, if France was to halve their EU budget, what impact would they have on the French budget then, or French borrowing? Would that move the dial or is it more the other way around? I need to double check, but I think France's contribution to the EU budget is less than 20 billion euros a year. So basically what I mean, cutting it by half would save like, you know, seven, eight billion a year.

Okay, it's not insignificant. But you know, we're talking about, you know, 120 billion adjustment we need to make over five years. So, you know, this is... Oh, okay. So, France still, this won't solve the structural fiscal issues of France alone. No, it's pretty small in terms of contribution and it will be pretty big in terms of... And has Le Pen said anything about pensions at all or not? Because that seems to be one of the big fiscal... challenges and resistance. So far, her line is that she still wants to abrogate the pension reform that was adopted under Macron and that has been frozen. But she doesn't say abrogate and replace it by what. So she doesn't say that she wants to exactly return to the status quo ante. So she's leaving it open what kind of pension reform could emerge.

where I think she's been smart to open a door on that October 6 press conference that she gave, is that she suggested that she could be open to

create a capitalization pension system, a national capitalization, which we don't have in France, and which I view as a smart way of introducing a pension reform without touching the touchy subject of the pension age. So technically, what I think could happen if she does something like that is effectively reduce pensions by telling people that they need to save in this private pension scheme, in this capitalized pension scheme, which will be public. And that's a way of basically quietly reducing the pay as you go system without really saying it.

She could play around with things like that, which I think would be a smart way of delivering pension reform without ever touching the pension age, for instance. But that's me second guessing rather than her having said that explicitly. Now, earlier you said that, you know, the polls, it was somewhat surprised how well Meloshan was doing on the left. Why do you think he's done so much better than people thought? And then secondly, what's his sort of platform in terms of policy and fiscal and so on? I think he's doing very well for several reasons. One is that he has been extremely mobilized around the issue of Palestine and the defense of Gaza. And I think that has resonated with a big part of the French public, in particular the youth. You know, I was telling you how young voters are voting this proportionately for him. And I think that has played a big part in that support. This cuts both ways because there has been also a real effort by centrist parties to marginalize him, accusing him of anti-Semitism, and he's viewed by many as an anti-Semite. And I think, you know, that has polarized a lot positions around La Ponsassoumise. So I think, you know, his strategy has been to polarize the public opinion around a number of issues.

around wealth taxation, around Gaza, around the use of violence. And so that has cut both ways. It has created a lot of resentment. He's the most hated politician, a lot more so than Marine Le Pen. But it also has created a lot of support. And so he has a lot of support in particular amongst the youth. And you probably have seen the important demonstrations and riots that we've had in France over the last 10 days or so. I think these riots and these demonstrations cut both ways as well. I think they strengthen Le Pen because all those who are afraid or concerned or upset with the violence probably are shifting towards Le Pen. But I think a lot of the young people that are demonstrating today that are demanding better schooling conditions

and this and that are energized by these demonstrations and will be more mobilized in voting for Mélenchon.

you know, I don't expect at all that this is going to hurt him that much. I think he's making the calculus that these tensions, you know, this polarization is basically hollowing out the center and benefiting both the far left and the far right. And I think that's right. So in the in the polls that have just come out after in the polls that were taken after October 17th, you see him dropping a little bit, but I wouldn't, you know, take this as a sign that, you know, his campaign is weakening. I actually think his campaign is going pretty strongly. It's more visible that Le Pen is gaining, but I personally, even the polls that just came out show a bit of a weakening on this side. I don't see a major loss of momentum. And then on the center, the centrist candidates, I mean, who are they? How are they doing? You know, there's, is it Gluck's Moment, Philippe and... Yeah, so you have a flurry of, you have a flurry of centrist candidates.

I think there would be what I call sort of, you know, polling Darwinism. So, you know, as we get closer to the election, those who are doing very badly in the polls will eventually step out. And as they do that, you know, there will be some redistribution of their votes. So what I think will happen, for instance, between the two leading candidates on the center right, Philippe and Atal, one of them is going to step down at some point. You know, Philippe would like for this to take place now. Atal probably wants to wait until early next year to do that. But I would say by February, these two campaigns will have merged into one. But it's important to realize that when these things happen, you don't exactly sum.

the votes, right? So, you know, one is polling at 17, the other at 7, they're not going to poll at 22, 23 if they merge their campaign. And so that's important to consider. So I think on the center right, they more or less have a plan to converge. I think there it's a bigger question to understand what the hotel, so the candidate for the Republican is going to do, whether he will eventually merge with them or not. I tend to think that he won't also for the survival of the party. But right now he's only pulling at seven, so it's a difficult campaign. Keep in mind that in French, by virtue of campaign

financing law, if you don't pull above 5%, the state does not reimburse your campaign costs. So basically come February.

you need to decide whether you're taking the risk of ending below 5% and paying this campaign out of pocket. The campaign financing rules play a role also in this polling Darwinism that I've described. On the center left, Glucksmann has won the primary of the Socialist Party. He's getting a little bit of momentum as a result of that. I'm not particularly convinced that that momentum is going to last. And there's a big question mark around other smaller left wing parties, like the Green Party, whether they're going to ally with him or not. So there are still a bit of movement there. My sense is that these forces on the center left are going to be too weak to really be a real serious contender. And so I doubt this is going to create sufficient momentum and energy to get to the second round. So to me, we are almost all ready.

in a three-way election where it's Le Pen on one hand, Mélenchon on the other, and maybe a center-right candidate that can emerge somehow out of this weird ecosystem in the center with the liability that this center-right figure, if he is, which seems to be likely with Édouard Philippe, a former prime minister of Macron, he comes with the legacy and the baggage of, you know, and the heritage of Macron. And I think that will make the campaign more difficult. And so that's why I, right now, and, you know, I'm more than happy to change my mind. But right now, I think the central scenario is one where Mélenchon and Le Pen will be in the runoff. It might be quite tight between Mélenchon and Philippe or the center-right candidate. But right now I would say, unless, you know, major events and, you know, I mean, there was just a terrorist attack.

today in Paris. So, you know, events can change the landscape pretty rapidly. But right now, I would say the central scenario is a Le Pen-Mélenchon runoff. And in that runoff, Le Pen-Mélenchon, it seems like Le Pen would win that. And most people in prediction markets and speak to most people, they expect Le Pen to win. Is that, you know, that reasonable, that kind of base case? Yeah. Yeah, I actually share that view, probably not by the extent that the polls say or that the predictions markets say. I mean, the latest poll actually that came out just after this weekend suggests she

would win at 70% versus 30% for Mélenchon. I find that a bit extreme. So I think Mélenchon would actually do better. But I still think for the reason that I've exposed earlier about this hatred, I still think it would be difficult for him to win. So I think she would win.

fairly easily against him. Okay, let's move on to sounds like more interesting thing is the general election. So let's say Le Pen wins, then you have a general election. Like, is it likely that the RN, I mean, could the RN get majority in a general election or not? Is there a path for them to do that? Or is it just a mess at that level? And you have to have weird coalitions. So this is where it gets very interesting and very complicated. And where, you know, the historical precedence, you know, can be a bit misleading. Historically, basically, since we've had this alignment between the general and the presidential election, which we haven't always had, by the way, because until the constitutional reform under Sarkozy, we had a seven-year presidential term and a five-year parliamentary term. So we always had an incomplete overlap, which created space for weird majorities. Since we've aligned the presidential and the parliamentary election, we've lost that. And so historically what happens is basically whoever wins the presidency wins the general election. There's kind of the momentum of winning the presidential election. You've won the presidential election on a particular program. And so basically the voters want to give you the power to implement that program. I tend to think that this history is not going to be as straightforward to repeat this time around.

because Le Pen is a very particular figure. She's still a very polarizing figure in French political life. And so I think we need to differentiate in my mind the case where she wins against a center-right candidate. So let's say she wins against Philippe. And I think in that case, it's a straight and fair win. She wins with a strong mandate. And I think in that scenario, it's easy for her. I think she has a good chance, let's say, of winning the general election. Maybe not win an absolute majority, but win a sufficiently large relative majority that she can govern with a bit of the center right or a bit of the Republican. And so I think that's the scenario that I think is kind of the soft scenario in the sense. The alternative scenario, if she wins against Mélenchon, I think it's a very different political dynamic. If she wins against Mélenchon, It will be perceived as winning by default. It will be

more perceived that basically, Mélenchon lost the election more than she wanted. It will not be so clear that she has a mandate. And I think in that case, to me, the left is going to unite in the general election. And the left could do a very strong showing, exactly as it did in 2024 in the snap elections. And in that case, I don't think the left would have a majority on its own.

But I think the left could really undermine and pressure her into a weird coalition government that could be a pretty chaotic political outcome. And so I think it's important to think of the general election as having pretty bifurcated types of outcomes, depending on the type of runoff we have in the presidential election. And that, of course, the polls today, they're not really polls around on the general election. But even if there were, they would not capture that. They would not capture the fact that basically people's vote in the general election is highly conditional on the second round of the presidential election. And so to me, that's all the fun and the uncertainty that we will have to contend with. And it therefore creates a pretty wide range of possible political outcomes and therefore fiscal outcomes and therefore, you know, market outcomes. And I think this is what is opening up also the range of risks.

And so in terms of if we kind of game out a couple of different scenarios. So let's say we have a scenario of that Le Pen wins the presidential, but you have some kind of left win of the general election. So we end up with this, you know, oppositional relationship in that scenario. The risk then is the fiscal side, I assume, sort of French sort of sovereign issues will come to the fore and the market will get scared. I think, you know, In the first scenario where she wins with the center right, basically she has all the tools to deliver a fiscal plan and she has all the means to basically be credible and committing to a fiscal trajectory of the medium term.

And the second scenario where I've described where the situation is a lot more fluid politically where, for instance, we might spend two months without a prime minister because she doesn't know who to appoint and maybe there are inter-parliamentary debates about who can, which we've had in 24, by the way, with Macron. I don't know if you remember, but it took months before we appointed a prime minister. So in that scenario, I

think the range of fiscal outcomes immediately explodes. We don't know who is going to govern, with what majority, if there is an agreement between the RN and that majority. That to me is a scenario where basically we're kind of back to the situation in which we've been since 2024, which is basically a situation where you have a president, a parliament, and basically no clear majority to get anything done and in particular to commit to a credible fiscal path. And so that to me is the real risk. I don't believe France will do crazy.

you know, fiscal expansion. I don't believe, even if Jean-Luc Mélenchon still campaigns on that, I don't believe that we'll bring back the pension age to six years old. I don't believe there's going to be massive political mistakes. But I also don't believe that we will be in a position to tell markets, OK, this is our fiscal path for the next five years. This is how we credibly commit to it. This is a constitutional reform that we implement to actually deliver on that. I think that, which I think is kind of the three things that you need to say to actually put a lid on the UIT-Bund spread, I don't think we'll be able to see it before a long time. Or before, you know, kind of a crisis situation forces us to do that. And in terms of scenarios about this running against the European Union, what are the possibilities there? I mean, is Parliament important there or not? Is this just more for presidential action? So it's important in one way that...

And this is why Le Pen's threat on the EU budget is important, because as you may know, Brussels is trying to rush an agreement on the EU budget before the French elections, precisely to avoid that risk. But to some extent, I think it's too late in the sense that you can have an agreement at the level of the European leaders, but that agreement needs to be ratified in the French parliament. And we will not have the time to ratify it before the general election. So basically what Le Pen has already worn is to say, don't even try to do a deal over my head because I will not let parliament pass this. So I think this is a credible threat. So I think we could have a friction against Europe on that. But to me, the bigger friction against Europe, so to speak, will be friction around the ECB's reaction function to market stress in France. You know, how soon?

DCB activates some of its stabilizing toolkit. What are the conditions for doing that? Does France get a free pass with somehow interventions that stabilize the French bond market before the elections and therefore before there's been a real fiscal commitment made? Or does DCB wait? And I think it's important to see the friction between France and Germany here. France is somehow backed by the ECB early. I think this is going to create a real problem politically for Germany. You know, this is going to provoke a rise of the IFD. And so, you know, you have a very complicated political situation, similar to what we've experienced during the Euro crisis, in fact, where the ECB is kind of, you know, between a rock and a hard place. You know, if it does intervene quickly to, you know, put a cap on French spreads, it creates a political crisis in Germany. And if it doesn't do it and lets, you know, France sink in a fiscal debt crisis, then it creates a real political crisis in France. And so I think the ECB's job over the next year is going to be extremely difficult at a time also of real leadership transition, half of the board of the ECB.

half of the executive board of six members is going to be renewed over the next year. So I think this is, you know, this interaction between European politics and ECB politics is, in my mind, you know, sort of lingering in the background of the French fiscal situation is pretty important. That's a great point. And does it matter that Lagarde is the head of the ECB, a French or former politician? No, I don't think it matters so much also because, you know, she hasn't announced very clearly, but she's on the way out. So our term ends formally in October 27, but she's kind of indicated that she wanted to leave in the early part of 2027. I mean, maybe the situation of financial stress does not allow her to do that. But I think all things being equal, our preference would be to leave early next year.

And so we would basically have the replacement of Isabel Schnabel, the German member of the executive board, between now and the end of the year because she's off to the IMF in January. We would have the replacement of Philip Lane, the chief economist by May of 2027. And we would have the announcement of the success of Christine Lagarde. potentially, you know, by the end of this year so that he or she can take office by April or so. So, you know, over the next six months, we're looking at half of the board potentially rotating. I mean, it makes 2027 sound crazy

when you would need to describe it like that for Europe. Yeah. And, you know, and we've spoken a lot about France, but we haven't spoken about, you know, Spanish elections at the end of November, potentially Italian elections coming up as well before the fall of 2027 Polish elections. So it's It's a pretty critical year for Europe in 2027, lots of things moving with potentially very deep consequences. Yeah, that's great. Well, I mean, I'm sure we could carry on talking and I'd love to have you back on in a couple of months just to kind of assess where we stand. The last thing I wanted to ask you, if people wanted to learn more about your thinking, your work, the polling that you're doing, in case they're interested to access them, what's the best way for them to reach out to you?

On Twitter, they can follow me there. I have also a sub-stack account where I write the weekly notes on Europe. And on Friday, the 29th, the 30th, sorry, we're doing an open presentation of the private polls that we'll be doing between nine and the general election. So whoever wants to attend this private poll presentation, it's open to all. You just need to. I think the podcast may actually come out on that day, by the way. Okay. Well, perfect. So I'll make sure there's a link to register or something like that. No, that's great. Well, thanks a lot, Shaheen. It's great for you to join us here and keep up the good work as well. I think we're going to need that good work in the month ahead. Well, thank you for your invitation and to you too. Great.

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